

PRA Glossary - F

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PRA Glossary - F

FCA

This term is defined externally, please refer to:FSMA s417

FCA activities

means a function which would, except for SUP 10C.9.8R or SUP TP 11.2.11R of theFCA Handbook, be anFCA governing function.

FCA activities notification

means:(1) in respect of aPRA senior management approval applicationthat was made prior to 10 December 2018, the notification required by SUP 10A.11.12R(4) of theFCA Handbook;(2) in respect of aPRA senior management approval applicationmade on or after 10 December 2018, the notification required by SUP 10C.9.8R(4) of theFCA Handbook.

FCA approval

means at any time an approval granted to and in effect for a personby theFCAunder section 59 ofFSMA(Approval for particular arrangements) for the performance of acontrolled functionspecified by theFCA.

FCA controlled function

means acontrolled functionspecified by theFCAunder section 59 ofFSMA.

FCA governing function

means any of theFCA controlled functionslabelled as FCA governing functions in the table ofFCA-designated senior management functionsin SUP 10C.4.3R of theFCA Handbook.

FCA Handbook

means theFCA'sHandbook of rules and guidance as amended from time to time.

FCA responsibilities

means any of:(1) the responsibilities set out in SYSC 24.2.6R (Table of FCA-prescribed senior management responsibilities) of theFCA Handbook; and(2) the responsibilities allocated under SYSC 26.3 of theFCA Handbook;(3)

Deleted. [Deleted.]

FCA-authorised person

means (in accordance with section 31 of FSMA (Authorised persons)) an authorised person who is not a PRA-authorised person.

FCA-designated senior management function

means an FCA controlled function specified in SUP 10C.4.3R of the FCA Handbook.

final bonus

(in relation to with-profits policy) means a discretionary payment which might be made by a long-term insurer, in addition to the guaranteed benefits, when the benefits under the with-profits policy become payable.

finance scheme

means the finance scheme required to be provided by a UK Solvency II firm to the PRA under Undertakings in Difficulty 4.1(2).

financial conglomerate

has the meaning given in Financial Conglomerates 2.1.

Financial Conglomerates Regulations

This defined term is effective from 23:00 on 31/12/2020. means the Financial Conglomerates and Other Financial Groups Regulations 2004 (SI 2004/1862).

Financial Groups Directive

means Directive 2002/87/EC of the European Parliament and of the Council of 16 December 2002 on the supplementary supervision of credit institutions, insurance undertakings and investment firms in a financial conglomerate.

financial holding company

has the meaning given in point (20) of Article 4(1) of the CRR.

financial institution

has the meaning given in point (26) of Article 4(1) of the CRR.

financial instruments

The changes to this defined term are effective from 23:00 on 31/12/2020. means those instruments specified in Part 1 of Schedule 2 to the Regulated Activities Order, read with Part 2 of that Schedule.

financial year

means the period at the end of which the balance of the accounts of the insurer is struck, or, if no balance is struck, the calendar year.

finite reinsurance

means reinsurance: (1) under which the explicit maximum loss potential arising from a significant transfer of both underwriting risk and timing risk exceeds the premium payable by the ceding undertaking over the duration of the contract by a limited but significant amount; and (2) which possesses at least one of the following characteristics: (a) explicit and material consideration of the time value of money; (b) contractual provisions to moderate the balance of economic experience between the parties to the reinsurance over time to achieve the target risk transfer.

FINREP firm

means: (1) a credit institution or investment firm subject to the CRR that is also subject to section 403(1) of the Companies Act 2006; or (2) a credit institution other than one which is subject to section 403(1) of the Companies Act 2006 that prepares its consolidated accounts in conformity with UK-adopted international accounting standards.

firm

(except in the Critical Third Parties Part of the PRA Rulebook) means a PRA-authorised person within the meaning of section 2B(5) of FSMA. (in the Critical Third Parties Part of the PRA Rulebook) means: (1) an authorised person; (2) a relevant service provider; or (3) an FMI entity.

First Life Directive

means the Council Directive of 5 March 1979 on the coordination of laws, regulations and administrative provisions relating to the taking up and pursuit of the business of direct life assurance (No 79/267/EEC).

First Non-Life Directive

the Council Directive of 24 July 1973 on the coordination of laws, regulations and administrative provisions relating to the taking up and pursuit of the business of direct insurance other than life insurance (No 73/239/EEC).

fixed interest securities

means securities which under their terms of issue provide for fixed amounts of interest.

flat rate benefits business friendly society

means a friendly society whose insurance business is restricted to the provision of benefits which vary according to the resources available and in which the contributions of members are determined on a flat rate basis.

FMI entity

This term is defined externally, please refer to: section 312L(8) of FSMA

former member

means a person who has ceased to be a member, whether by resignation or otherwise, in accordance with Lloyd's Act 1982 and any law made under it.

friendly society

This term is defined externally, please refer to: s417(1) FSMA

FSCS

means the body corporate established under section 212 of FSMA to administer the compensation scheme.

FSMA

means the Financial Services and Markets Act 2000.

full scope regulatory reference firm

means: (1) a CRR firm, (2) a credit union, (3) a third country CRR firm in relation to the activities of its establishment in the UK, (4) a UK Solvency II firm, (5) the Society, (6) a managing agent, (7) a third country branch undertaking (other than a Swiss general insurer) in relation to the activities of its establishment in the UK, (8) a UK ISPV, (9) a large non-directive insurer, (10) a small non-directive insurer.

function

means, within a system of governance, an internal capacity to undertake practical tasks. [Note: Art. 13(29) of the Solvency II Directive]

Fundamental Rules

means the rules set out in Fundamental Rules 2.

funds at Lloyd's

means the assets (not being syndicate assets) provided by or on behalf of a member to meet the liabilities arising from the member's insurance business at Lloyd's which are held in a Lloyd's trust fund and managed by the Society as trustee.

funeral plan contract

means the investment specified in articles 59(2), 60 and 87 of the Regulated Activities Order.

future

means the investment specified in article 84 of the Regulated Activities Order.

future discretionary benefits

means future benefits of contracts of insurance, other than linked benefits, which have one of the following characteristics: (1) they are legally or contractually based on one or more of the following results: (a) the performance of a specified contract or specified group of contracts or type of contract; (b) the realised or unrealised investment return on a specified pool of assets held by the firm; or (c) the profit or loss of the firm or fund corresponding to the contract of insurance; or (2) they are based on a declaration of the firm, and (in either case) the timing or the amount of the benefits is at the firm's full or partial discretion.

future policy-related liabilities

means, in relation to a with-profits fund, the aggregate of the following amounts (to the extent each constitutes a liability) less the aggregate of such amounts (to the extent each constitutes an asset): (1) planned deductions for the costs of guarantees, options, smoothing and provision of life cover and other benefits from the amount calculated in accordance with Surplus Funds 3.3 or, where a firm is required under Surplus Funds 3.2 to use the calculation method in Surplus Funds 3.4, in accordance with Surplus Funds 3.4; (2) planned deductions for other costs deemed chargeable to the amount calculated in accordance with Surplus Funds 3.3 or, where a firm is required under Surplus Funds 3.2 to use the calculation method in Surplus Funds 3.4, in accordance with Surplus Funds 3.4; (3) future costs of contractual guarantees (other than financial options); (4) future costs of financial options, including guaranteed annuity and cash options; (5) future costs or proceeds of smoothing; (6) future liabilities to repay financing costs of a with-profits fund where the firm expects to have to meet such liabilities; and (7) other future costs related to the provision of the benefits referred to in Surplus Funds 3.4 (4) (regardless of whether the firm is required to effect the calculation in Surplus Funds 3.4), but only to the extent that they are not already included in the amount calculated in accordance with Surplus Funds 3.3 or, if applicable, Surplus Funds 3.4.